

A photograph of the exterior of the La Costa Hotel at dusk. The building features a combination of vertical wood slats and large glass windows. The windows reflect the surrounding trees and the warm interior lights. A man in a light-colored shirt is walking away from the camera towards the entrance, and a woman is visible inside the lobby. To the right, a modern staircase with a dark railing leads up. The overall atmosphere is sophisticated and modern.

— THE BROWN STUDIO · LEUCADIA, CALIFORNIA

La Costa Hotel

A boutique 17-key hotel, destination restaurant, and neighborhood of design homes, gathered around the coast in North County San Diego.

17
KEYS

~90
SEAT RESTAURANT

4 + 5
BUNGALOWS & ROW HOUSES

516
LA COSTA AVE

ABOUT LA COSTA

The La Costa Hotel, an idyllic middle ground.

Situated between Leucadia–Encinitas and Carlsbad in North County’s coastal corridor — one of Southern California’s most desirable and under-hoteled stretches of coastline — and the ideal location for young, design-minded travelers seeking a coastal respite.

The area draws experience-driven travelers and locals who flock to local-driven concepts and tasteful establishments that embrace grounded luxury. The La Costa Hotel is a boutique hospitality project designed and developed by The Brown Studio. It is more than just a hotel — it is a thoughtfully designed environment that elevates the everyday, where every detail invites you to linger, feel calm, and truly belong.

The La Costa Hotel is positioned as both a destination stay and a genuine neighborhood anchor. A potential linkage with a second Brown Studio property in Oceanside would establish a multi-property North County corridor under a unified brand.

THE HOTEL AT A GLANCE

A boutique hotel, destination restaurant, and curated event spaces under one roof.

The project is designed as a ~17-key hotel with a destination ~90-seat restaurant, poolside F&B, and flexible communal spaces. Construction submission is targeted within six months, with feasibility studies currently in progress. The design sensibility — Soft Modern — is warm, restrained, and lived-in. Nothing is overstyled. The F&B program is designed to function as a neighborhood destination in its own right, driving local traffic and revenue independent of occupancy.

01 Underserved Market No well-designed, independently operated boutique hotel currently serves the design-literate traveler in North County San Diego.	02 Multiple Revenue Streams Rooms, café, bar, poolside F&B, and potential event/rental programming within a single asset.	03 High-Value Guest Profile Design-minded adults and modern families who stay longer, rely less on OTAs, and refer quietly to people whose taste they trust.	04 Brand Based The platform builds brand equity across future acquisitions — not just a property investment.
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A neighborhood of design homes, gathered around a destination restaurant.



516 LA COSTA AVE — SITE PLAN

RESTAURANT · POOL · BUILDING TYPE I BUNGALOWS · BUILDING TYPE II ROW HOUSES

4

5

17

~90

BUNGALOW UNITS

ROW HOUSE UNITS

TOTAL KEYS

RESTAURANT SEATS



SITE PLAN — UNIT TYPES

Two building types, one residential sensibility.



BUILDING TYPE I

Bungalows — 4 Units

Four freestanding units set around a shared courtyard and plunge pool. Ground-floor living with a king suite, bunks, and kitchenette; an upper level adds a second king and double-queen room — built for families and small groups who want their own front door.

4 UNITS

KING + BUNKS

KITCHENETTE

SHARED COURTYARD



BUILDING TYPE II

Row Houses — 5 Units

Five attached townhome-style units with private hot tubs and outdoor showers. Ground level opens to living and kitchenette; the second level holds a king suite, bunk room, and bath — residential-style accommodations suited to longer, hybrid leisure–work stays.

5 UNITS

PRIVATE HOT TUB

OUTDOOR SHOWER

TWO LEVELS

BUILDING TYPE I — FLOOR PLANS

Bungalows · Levels 1 & 2



Level 1: king suite, living, bunks, kitchenette, bath, and wood deck with spa. Level 2: double queen and king suites with two baths and terrace.

BUILDING TYPE II — FLOOR PLANS

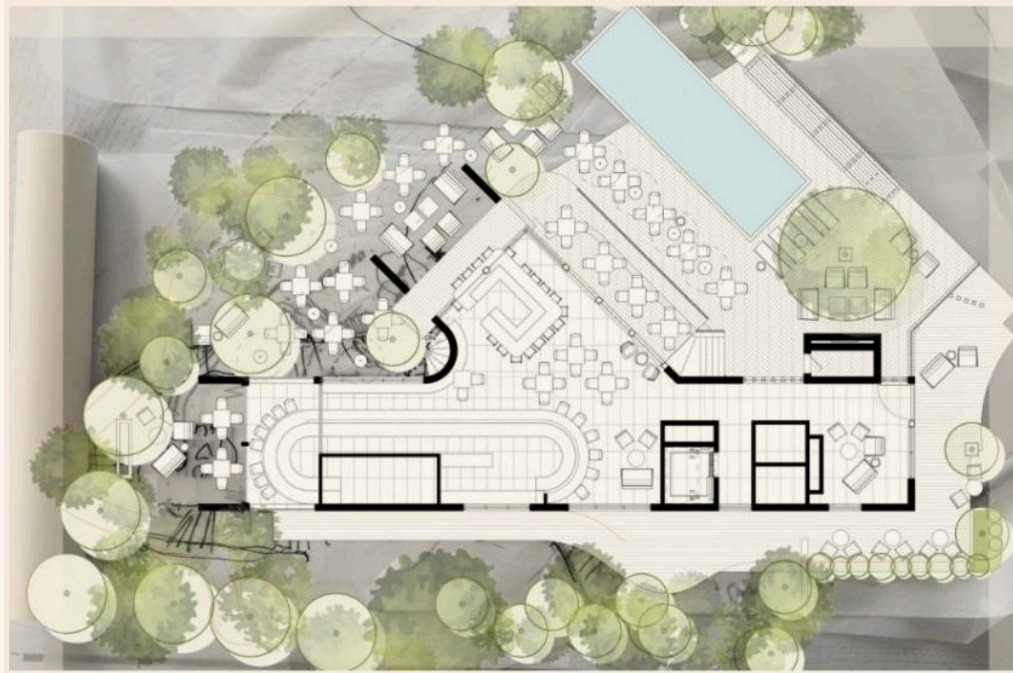
Row Houses · Levels 1 & 2



Level 1: living, kitchenette, powder bath, hot tub deck, and outdoor shower. Level 2: king suite, bunk room, and full bath.

SITE PLAN — RESTAURANT, OUTDOOR SEATING & POOL

The restaurant floor



Kitchen and chef's table anchor the west end; the bar and lounge open onto shaded outdoor seating, with a guest-only pool beyond and a stair to the Level 2 deck.

Approved restaurant area of 1,970 SF across two levels, with indoor seating for up to 85–187 across configurations and outdoor seating on the terrace and deck — a maximum allowed occupancy of 233.

Level 2 plan update in progress.

— PART TWO — THE MARKET

MARKET CONTEXT

A high-demand, supply-constrained coastline.

32M+

VISITORS TO SAN DIEGO IN 2024,
ABOUT 18M STAYING OVERNIGHT

~73%

AVERAGE COUNTY HOTEL
OCCUPANCY — BEST IN THE WEST

\$14.6B

IN DIRECT VISITOR SPENDING

San Diego is one of the strongest leisure markets in the country, and an unusually steady one: a mild climate keeps demand alive through the year rather than spiking and collapsing by season. North County's coast, from Carlsbad through Encinitas to Del Mar, is the relaxed, design-literate end of that market. Leucadia sits at its heart, a surf town of bluffs and eclectic shops that increasingly draws the creative, affluent traveler La Costa Hotel is built for.

Source: San Diego Tourism Authority, FY2024.

HOSPITALITY TRENDS

The growth is in small, design-led independents.

79%

OF LUXURY TRAVELERS VALUE
EXPERIENCES OVER MATERIAL
THINGS

~\$50B

PROJECTED BOUTIQUE-HOTEL
MARKET BY 2034, GROWING ABOUT
7% A YEAR

40%+

OF BOUTIQUE-HOTEL REVENUE
NOW BOOKED DIRECT

The growth in coastal hospitality is not in large resorts. It is in small, design-led independents with a point of view, in residential-style rooms that suit longer stays, and in trips built around experience, food, wellness, surf, and a real sense of place, rather than a list of amenities. Guests reward understated, authentic luxury, and they increasingly find and book these places directly. La Costa Hotel is built squarely for where the market is going.

- Continued shift toward small, design-led independent hotels rather than large-scale resort developments, reflecting the area's boutique coastal character
- Rising demand for residential-style accommodations, including suites with kitchenettes and townhome-style layouts suited for longer leisure stays
- Experience-led travel focused on food and beverage, wellness offerings, surf/outdoor lifestyle and deeper local immersion
- Growth in extended-stay “bleisure” demand within boutique hotel settings, particularly from remote workers and hybrid professionals
- Strong preference for authenticity, understated luxury and place-driven design over heavily branded or corporate hotel experiences

- Increasing direct bookings influenced by social media discovery, lifestyle branding and word-of-mouth rather than traditional distribution channels

Source: Skift Research; Grand View Research; Market.us, 2024.

SUPPLY & DEMAND

Demand is strong and supply is tight.

~12

LODGING PROPERTIES, NEARLY ALL
INNS, MOTELS, AND BUDGET
CHAINS

1

UPSCALE RESORT (ALILA MAREA);
NO DESIGN-LED HOTEL

+4%

SAN DIEGO REVPAR GROWTH, 2024,
ON LIMITED SUPPLY

Revenue per available room across San Diego grew more than four percent in 2024 on the back of limited new supply, and the coastal stretch of North County is among the hardest places to build, held back by zoning, coastal regulation, and cost. Encinitas has only a dozen or so lodging properties, and nearly all are small inns, motels, and budget chains. The upscale, design-led tier is essentially one resort. Little new product is coming, so a small, well-positioned property can command rate without competing on volume. Closest set: Alila Marea, Twelve Senses, Surfhouse.

STR MARKET REPORT — OVERVIEW

A high-demand, supply-constrained boutique leisure market.

Leucadia and the broader North County San Diego coastline are defined by strong coastal demand, a relaxed luxury positioning, and easy access from key Southern California drive markets, including San Diego, Orange County and Los Angeles. Demand is primarily independent and experience-driven, supported by leisure travelers seeking authentic, design-forward coastal stays. New hospitality development remains limited due to zoning restrictions, coastal regulations and elevated construction costs, further reinforcing the area's limited-supply appeal.

Demand drivers

- Coastal leisure travel and weekend drive markets (SoCal, Arizona, Bay Area)
- Food & beverage-led visitation and restaurant-driven trips
- Wellness, surf and outdoor recreation economy
- Extended-stay “bleisure” demand from remote workers and creatives

- Small-scale events, retreats and partial or full-property buyouts

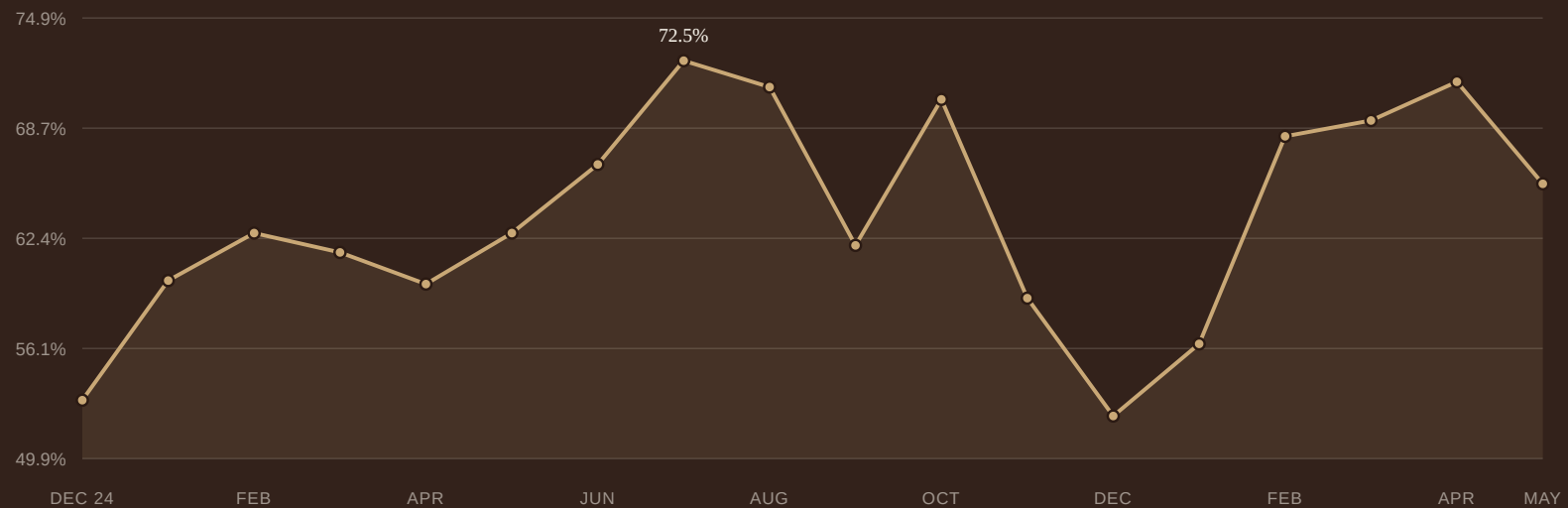
- Seasonal tourism peaks with relatively stable year-round baseline demand

STR MARKET REPORT — PERFORMANCE

Comp set performance, Dec 2024 – May 2026.

San Diego North County

Comp set: L'Auberge Del Mar Resort, The Inn at Rancho Santa Fe, Rancho Valencia Resort & Spa, Alila Marea Beach Resort Encinitas, Four Seasons Residence Club Aviara, Omni La Costa Villas



55.1%

2024 YTD OCCUPANCY

61.3%

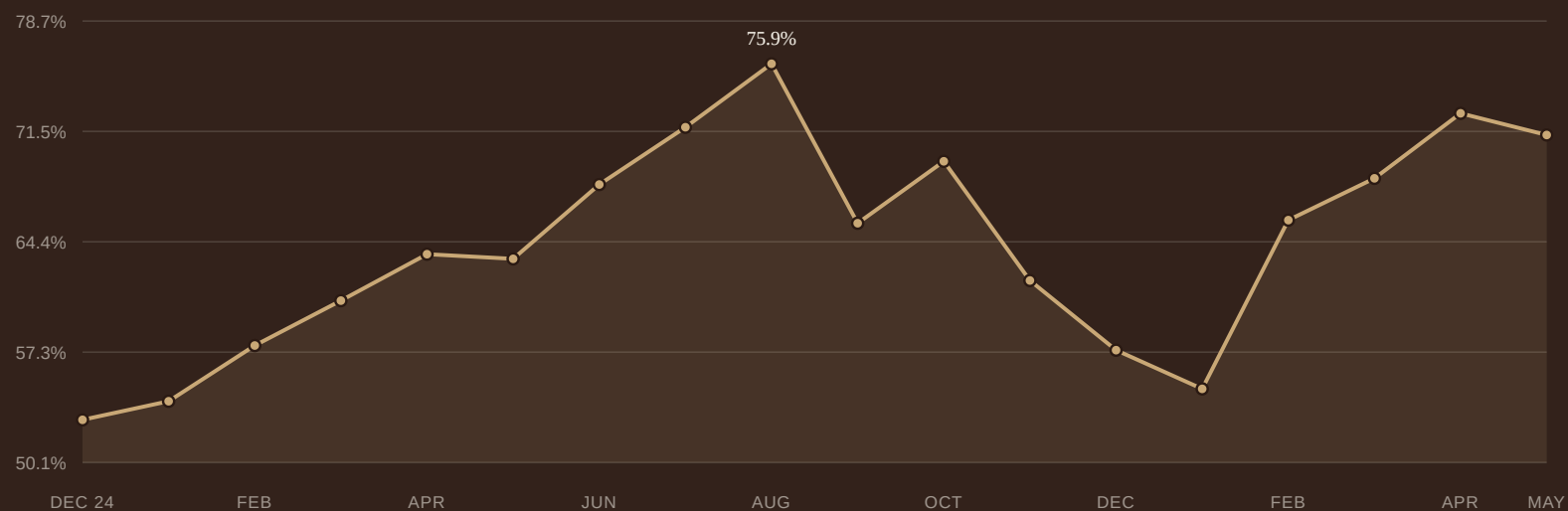
2025 YTD OCCUPANCY

66.1%

2026 YTD OCCUPANCY

Curated Benchmark

Comp set: Rancho Valencia Resort & Spa, The Surfrider Malibu, The Sea Ranch Lodge, Hotel Joaquin



55.4%

2024 YTD OCCUPANCY

59.9%

2025 YTD OCCUPANCY

66.6%

2026 YTD OCCUPANCY

Revenue per rooms sold.

Comp-set guests spend well beyond the room — food & beverage and other spend more than double the room rate, validating the multi-engine revenue model.

MONTH	ROOM · COMP	ROOM · IND.	F&B · COMP	F&B · IND.	OTHER · COMP	OTHER · IND.	TOTAL · COMP	TOTAL · IND.
May 2026	581.30	213.07	514.32	130.58	292.52	57.75	1,389.56	401.40
YEAR TO DATE								
2024 YTD	528.31	205.35	439.18	115.85	255.45	46.60	1,228.13	367.79
2025 YTD	534.24	208.82	415.76	127.52	250.86	45.03	1,206.42	381.37
2026 YTD	555.32	213.55	431.58	128.64	283.91	50.10	1,272.75	392.29

STR MARKET REPORT — OPPORTUNITY

Positioned to fill a clear gap.

La Costa Hotel is positioned to fill a clear gap in the North County market: a highly curated, design-driven boutique hotel with integrated destination dining and residential-style accommodations.

Focuses

- Capturing unmet demand for upscale boutique stays between luxury resorts and STRs
- Establishing a restaurant-led hospitality anchor within Leucadia
- Monetizing extended-stay and hybrid leisure/remote work demand

- Leveraging small scale (~17 keys) to drive high ADR and strong rate integrity
- Creating a differentiated coastal experience that blends privacy, design and community access

DEMAND DRIVERS

A full calendar keeps demand high across the year.

Alongside steady weddings, retreats, and weekend drive-market demand, with the heaviest draws from late spring through fall.

Spring

MARCH – MAY

The Flower Fields

Carlsbad's spring bloom, a 60-year tradition

Spring Street Fair

Encinitas, Highway 101, 100,000+ visitors

Carlsbad Village Faire

Among the nation's largest street fairs

Summer

JUNE – AUGUST

San Diego County Fair

Del Mar, the area's single largest event

Switchfoot Bro-Am

Moonlight Beach surf-and-music fest

Del Mar racing opens

Where the turf meets the surf

Fall

SEPTEMBER – NOVEMBER

Del Mar fall racing

Plus the Breeders' Cup when hosted

Fall Festival & Oktoberfest

The Highway 101 street fairs

Peak surf season

The best swells of the year

Winter

DECEMBER – FEBRUARY

Holiday parades & markets

Encinitas and Carlsbad villages

Carlsbad Marathon

January's big regional draw

Whale season

Mild escapes, a high year-round baseline

Sources: Del Mar Fairgrounds; San Diego County Fair; The Flower Fields; Switchfoot Bro-Am; regional event calendars, 2025–26.

The upscale-boutique corner, at intimate scale, is open.

The STR competitive set is large, upscale resorts. Room counts shown in parentheses, per the STR competitive set.



*Hotel Joaquin is a Laguna-style comp; Surfhouse, Leucadia Beach Inn, Twelve Senses, and the Carlsbad family resorts shown for context.

PART THREE — POSITIONING

THE POSITIONING

A coastal hotel in Leucadia that lives like a home.

Made to be lived in, not just checked into. A neighborhood of design homes gathered around a destination restaurant.

DESIGN

Calm and considered. Quality through restraint, not flash.

EASE

The space and privacy of a home, with the ease of a hotel.

PLACE

Of Leucadia and the coast. Open to locals, surf culture kept authentic.

COMPETITIVE ADVANTAGES

What scale cannot buy.

Against a set of large, upscale resorts, La Costa Hotel wins on intimacy, design, a real restaurant, and a sense of place. These are structural advantages, hard to replicate in a

market where little new product gets built.

Intimate Scale Seventeen keys, personal and high-touch, where the set runs 40 to 130 rooms and competes on volume.	Design-Led Homes Residential rooms made to be lived in, built for the longer stays large resorts cannot serve.	A Destination Restaurant The only one in the set open to locals, a second revenue engine and instant local credibility.	Open & Of The Place A community-facing cultural hub, not a sealed resort, and new design-led product where little gets built.
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THE GUEST PROFILE

Four archetypes, one product.

The range of homes lets a single property hold all of them.

2-4 NIGHTS The Design Traveler Design-minded and coastal. Here for the architecture, the food, and the quiet.	4-10 NIGHTS The Long-Stay Creative Remote professional or creative. Wants the comfort	REPEAT VISITS The Local Regular A neighbor drawn first by the restaurant and pool, who becomes a regular and an advocate.	WEEKENDS & BREAKS The Modern Family Design-conscious parents who travel with kids but will not lower the bar.
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Proof of interest: Alila Marea, the design-led resort next door in Encinitas, commands a premium rate.

of a home with the ease of a hotel.

Proof of interest: San Diego's average stay is now nearly four nights, a full night longer than pre-pandemic (SDTA).

Proof of interest: San Diego's Lafayette shows a restaurant-led hotel can become a local institution.

Proof of interest: Nearby family resorts like Park Hyatt Aviara stay busy on design-minded families.

THE INSPIRATION SET

Case studies that shape the product and the tone.

From around the world, translated into a relaxed, surf-town register for Leucadia.

ENGLAND · THE PRODUCT MODEL

Soho Farmhouse

Homes set around a destination restaurant, with the grounds as much the experience as the rooms. We take that model and reconsider the membership.

SWEDEN · THE FEELING

Ett Hem

Designed so fully to feel like a home that it never reads as a hotel. We take that feeling, rooms made to be lived in.

CALIFORNIA · THE TONE

Hotel Wren

A small, design-led house with kitchens in the rooms and an easy, unforced calm. We take the relaxed, surf-town register to this execution.

CALIFORNIA · THE PRODUCT
MODEL

The Sea Ranch Lodge

Scale, coastal positioning, and emphasis on design over volume. Designed around a strong sense of place — raw architecture, minimal interiors, and an intentional relationship to landscape that makes the setting itself the amenity.

NEW YORK · THE FEELING

Nine Orchard

Feels more like a private residence than a hotel — layered, idiosyncratic, and rooted in a specific cultural moment without performing it. The feeling of being let in on something rather than checked in somewhere.

CALIFORNIA · THE TONE

The Inn at Mattei's Tavern

Unhurried and unpretentious — the tone is true to its environment. Guests are welcomed with a laid-back kind of hospitality that feels like it was already happening before you arrived.

THE PRICING POSITION

Value-oriented luxury, priced with intent.

More than a rental, below the large resorts.



Scarcity

17 keys protect rate through the year.

The Restaurant

A second engine and a reason to come.

Design & Stays

Longer stays and direct, returning guests.

PART FOUR — SALES + MARKETING

REVENUE STRATEGY

Own the guest relationship. Price for rate over volume.

Then expand presence and stack the books across every period of the year. Two books of business do the work: transient demand, won through brand and distribution, carries weekends and peak season; group demand, won through proactive sales, fills midweek and the shoulder months. Layered with food and beverage, events, and retail, they build a property whose revenue holds steady through the year.

Rate Over Volume

Protect ADR and favor direct bookings over distributed ones.

Two Books, Year-Round

Transient fills weekends and peaks; group fills midweek and the shoulders.

Beyond Rooms

Food and beverage, events, and retail as added revenue engines.

TARGET DEMOGRAPHIC

Two books of business, stacked year-round.

Transient demand carries weekends and peak season, while group demand fills midweek and the shoulder months.

PART 1 · TRANSIENT

Design-conscious coastal leisure

Affluent couples and singles from the SoCal drive markets; value design, privacy, and service. 2 to 4 nights.

Extended-stay professionals & creatives

Remote workers wanting residential comfort, wellness, and local dining. 4 to 10 nights.

Restaurant-led discovery

Locals and regional visitors drawn first by the food. 1 to 2 nights.

PART 2 · GROUP

Social & wedding buyouts

Exclusive use for weddings, family reunions, and celebrations.

Production room blocks

Film, TV, and commercial crews, photo teams, and event staff.

Corporate offsites & retreats

Team-building, leadership retreats, planning sessions, and meetings.

DISTRIBUTION STRATEGY

Direct first, third parties for awareness.

Given the small scale and boutique positioning, the focus is on maximizing ADR and attracting brand-aligned guests over broad occupancy. This is how transient demand is won. Key demand drivers: the restaurant, the design-driven experience, and the Leucadia location.

CHANNELS

Direct website bookings

OTAs

Booking.com, Expedia

Leisure consortia

Mr & Mrs Smith, AMEX, Capital One

Corporate consortia & negotiated rates

ABC, Intrenova, LNRs

Group and buyout

FOCUS

Maximize ADR over occupancy

Dynamic pricing around social events

Direct growth through brand storytelling and packages

Advisor, influencer, and wellness partnerships

Domestic feeders and longer-stay international

The property markets to its guests first.

Transient demand is generated and captured through our own channels. The goal is to drive guests to book direct, through a strong website, an engaged social presence, and an owned audience, so the property leans less on third-party channels.

01 The Website A fast, beautiful, performance-optimized site and booking engine, with a best-rate guarantee and a low-friction path to book.	02 Social & Content An Instagram-led presence and a steady content program that drive discovery, brand equity, and buzz.	03 CRM & Email An owned audience captured from the site, the restaurant, the shop, and a founders list, nurtured to book and re-book direct.	04 Direct-Only Perks Upgrades, late checkout, and credits that pull demand off the OTAs and reward booking direct.
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GROUP SALES STRATEGY

A proactive sales effort, not a marketing one.

Group is a different business from transient. It commands higher ADR, secures a consistent base of occupancy through the year, and at seventeen keys a single group can

take the whole property. Price social events dynamically, secure a consistent base of group business, and strengthen proposal packages that grow ancillary spend across F&B, venue rental, and add-ons.

01	02	03	04
Social & Wedding Buyouts	Production Room Blocks	Corporate Offsites & Retreats	Lifestyle & Creative Buyouts
Weddings and reunions, plus engagements, micro-weddings, and milestone birthdays.	Film, TV, and commercial crews, photo teams, and event staff during a project.	Team-building, retreats, planning, training, workshops, and meetings.	Wellness retreats, music and arts communities, and boutique group buyouts.

PARTNERSHIP OPPORTUNITIES

The strongest partnerships are experiences, not logos.

We will focus on collaborations that are integrated into the guest experience, from coffee and wellness to surf, retail, and in-room amenities. The goal is to create partnerships that feel native to the brand, strengthen the overall stay, and generate incremental revenue. By aligning with brands that already carry cultural relevance and credibility, we can build on

existing equity, expand awareness, and introduce new audiences to the property from day one.

The Bath Line A house bath and body line made with a natural-ingredients maker and built for after the surf. In every room, the heart of an outdoor-shower ritual, and sold in the shop to take home.	The Coffee A coffee program worth waking up for, made with a respected roaster, poured at the café and bagged to take with you.	The Surf A surf offering run with a respected local shaper, with boards, lessons, dawn sessions, and a sauna-and-plunge recovery ritual to follow.
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PR & INFLUENCER

The opening is a campaign that begins long before the doors do.

The construction period, the food, and the founders become the story, building a waitlist and real anticipation ahead of launch. Press and a small group of well-chosen voices are staged across the build, weighted toward design and the California coast rather than raw reach, so the property opens with an audience already in place.

01

Hard-hat dinners

Press and tastemakers on site before there is anything to sell

02

F&B pop-ups

The restaurant around town, building its name months ahead

03

Founders list

A waitlist gathered through the site, the pop-ups, and partners

04

Preview stays

A design and travel first look, then staged press

05

Opening

Features timed to launch, and a content series from build to doors open

LOCAL COMMUNITY

Genuinely open — a place the neighborhood uses.

Not a club it is kept out of. Three things make La Costa Hotel a cultural hub for Leucadia and earn it a real place in local life. A light membership could layer on later, but the openness is the point.

The Restaurant & Café

Public and local-first, the daily front door, a place neighbors come to use as their own.

The Shop

Local makers' goods alongside the house line, adding retail revenue and real local credibility.

The Programming

Maker's markets, music, yoga, and surf, open to the neighborhood and not just to guests.

DINING — THE RESTAURANT

The restaurant is the front door.

ANDREW BACHELIER — EXECUTIVE CHEF / OWNER

THE CHEF

Andrew Bachelier is one of North County San Diego's most decorated chefs — trained at Addison, credited with launching Campfire into national recognition, and connected to Jeune et Jolie, which earned a Michelin star the year after his departure. The Restaurant, his Leucadia flagship, earned a Michelin Bib Gourmand and has become a destination in its own right. He is local, proven, and exactly the kind of culinary voice that gives the La Costa Hotel immediate credibility.

THE MENU

The Restaurant's menu is hyper-seasonal, market-driven, and wellness-oriented, rotating with what Bachelier and his team find at local farms — globally influenced but rooted in the produce and producers of North County San



Diego. The ethos is one of intention without pretension.

RESTAURANT POSITIONING

A destination in its own right, not a hotel amenity.

The kind of place people drive to for dinner whether or not they are staying the night. Led by a chef with real standing, it serves the coast — seafood-forward, vegetable-driven, and unfussy, with a bar that holds its own. Done well, it becomes the property’s center of gravity and its most powerful marketing.

Open To All Public and local-first, a destination in its own right, not just a hotel amenity.	The Front Door It draws locals in and earns the property a name before the first guest checks in.	Beyond Rooms Revenue and gravity that rooms alone cannot provide.
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EVENTS

Where a mature events market meets a culinary corridor.

La Costa sits at the intersection of a mature wedding and corporate retreat market and one of the most exciting culinary corridors in Southern California. This property can command premium buyout rates for intimate weddings, elopements, and executive offsites — event types where F&B is not a line item but the centerpiece of the experience. With a chef partner of Bachelier's caliber within driving distance, there is a real opportunity to position catering not as a hotel amenity but as a genuine culinary program, one that differentiates the property and supports rate integrity across both rooms and events.

REVENUE OPPORTUNITY

The business runs on several engines at once.

At seventeen keys, rooms alone will not carry the property. The restaurant and bar earn every day from guests and locals alike, events and full buyouts add high-value demand, and the shop, programming, and memberships layer in recurring income. The aim is a property where food and beverage, events, and retail together carry a meaningful share of revenue and steady it across the seasons.

01

Rooms

Seventeen keys at a premium, boutique rate.

02

Food & Beverage

Daily covers from breakfast to dinner, with a bar into the evening.

03

Events & Buyouts

Weddings, productions, and corporate offsites.

04

Retail & Programming

The shop, memberships, and ticketed events.

PROGRAMMING

A calendar that runs from dawn surf to long dinners after dark.

Programming gives people a reason to return and a reason to belong, and it draws on what this stretch of coast does naturally. Some is open to all and some held for guests; kept small and well made, it becomes the social life of the property rather than a list of activities.

Dawn

- Surf sessions with a local shaper

Morning

- Post-surf sauna and cold plunge

Afternoon

- Pool and poolside bar
- Tide-pool walks

Evening

- Long-table dinners
- Guest-chef nights

- Run-and-swim club along the bluffs
- Contrast recovery and bodywork
- Yoga and breathwork
- Maker sessions
- Music on the lawn

POOL & AMENITIES

The daytime heart of the property.

Social by day and quiet by evening, the pool and the ground around it deserve to be designed and programmed as carefully as any room. A poolside menu and bar service make the deck a daypart of its own, while the addition of a sauna, cold plunge, and the recovery that follows a morning in the water extend the wellness offer. The landscape does the rest — native planting, warm materials, and shade that make the commons a place to spend the day.

The Pool & Deck

- Pool and poolside bar
- Cabanas and loungers
- Fire pits at dusk

Recovery & Wellness

- Sauna and cold plunge
- Contrast therapy after surf
- Bodywork and treatments

The Setting

- Outdoor shower and cruisers
- Native planting and shade
- Quiet by evening

THE SERVICE

Service is where a small property wins.

With seventeen keys and an open restaurant, the team can know guests by name, remember how they take their coffee, and anticipate the next thing before it is asked for. The welcome is coastal and tactile, and the tone is warm, unstuffy, generous with small gestures, and genuinely glad to see children.

Beach bag & towel Waiting in the room	The day’s tide chart So you catch the good hours	Reef-safe sunscreen Ready to go
Cruisers & a board By the door	Cold brew, citrus, sourdough Fresh at the door each morning	Known by name From the first hello

— PART SIX — LOOKING AHEAD

PRO FORMA

17-key boutique hotel + restaurant.

La Costa Hotel · 516 La Costa Ave, Encinitas, CA · 12,334 GSF & 5,750 NRSF · 17 hotel units · 25 parking spots. Draft — confidential; figures reflect current underwriting and are subject to change.

15.8%

LEVERED IRR

8.2x

LEVERED EQUITY
MULTIPLE

\$8.68M

TOTAL EQUITY
REQUIRED

7.8%

RETURN ON COST
(STABILIZED)

DEVELOPMENT TIMELINE

MILESTONE	DURATION	MONTH
Month 1	—	Dec-25
Start construction	6 months	Jun-26
Construction complete	24 months	May-28
Hotel opens	31 months	Jun-28
Stabilization	12 months	Jun-29
Refinance	—	Jun-29
20-year term	240 months	Nov-45

SOURCES

SOURCE	%	TOTAL	\$/UNIT
Total equity needed	35%	\$8,677,460	\$510,000
Construction loan	65%	\$16,120,000	\$948,000
Total sources	100%	\$24,797,460	\$1,459,000

USES			
USE	PSF	TOTAL	\$/UNIT
Acquisition	\$437	\$5,395,324	\$317,000
Hard costs	\$1,042	\$12,851,837	\$756,000
Soft costs	\$325	\$4,003,176	\$235,000
Financing costs	\$207	\$2,547,123	\$150,000
Total uses	\$2,010	\$24,797,460	\$1,459,000

FINANCING			
TERM	ACQ. LOAN	CONSTRUCTI ON	PERMANENT
Loan sizing	0% LTC	65% LTC	62.5% LTV
Loan amount	\$0	\$16,120,000	\$18,562,500
Interest rate	9.00%	8.00%	7.00%
I/O period	Full term	Full term	36 months
Amortization	N/A	N/A	30-year
Annual payment	—	(\$1,289,600)	(\$1,481,961)
Debt coverage (DSCR)	—	1.50x	1.30x

FORECASTED P&L — STABILIZED (JUN-29) / EXIT (NOV-45)			
LINE ITEM	% REV	STABILIZED	EXIT
Occupancy	—	70.0%	77.5%
ADR	—	\$597	\$958
RevPAR	—	\$418	\$743
REVENUE			
Rooms	60%	\$2,593,754	\$4,608,166
Restaurant bar	35%	\$1,497,600	\$2,804,977
Room service	0%	\$9,034	\$18,734
Events / weddings / corporate	5%	\$225,862	\$468,360
Total revenue	100%	\$4,326,251	\$7,900,237
DEPARTMENTAL EXPENSES			
Rooms	15%	\$648,439	\$1,040,554
Restaurant bar	12%	\$519,120	\$833,035
Room service	0%	\$1,342	\$2,154
Total departmental expenses	27%	\$1,168,901	\$1,875,742
Gross operating income	73%	\$3,157,350	\$6,024,495
UNDISTRIBUTED OPERATING EXPENSES			
G&A / staffing	7%	\$309,000	\$495,854

LINE ITEM	% REV	STABILIZED	EXIT
I/T systems	0%	\$18,446	\$29,601
Sales & marketing	2%	\$103,000	\$165,285
Repairs & maintenance	5%	\$206,000	\$330,570
Utilities	5%	\$206,000	\$330,570
Total undistributed expenses	19%	\$842,446	\$1,351,879
Gross operating profit	54%	\$2,314,904	\$4,672,616
FIXED OPERATING EXPENSES			
Insurance	1%	\$51,500	\$82,642
Property taxes	2%	\$74,942	\$120,260
Management fee	10%	\$259,375	\$460,817
Total fixed expenses	9%	\$385,817	\$663,718
Net operating income	45%	\$1,929,087	\$4,008,897
Return on cost	—	7.8%	16.2%
AMF	—	(\$64,894)	(\$118,504)
Debt service	—	(\$1,481,961)	(\$1,481,961)
Net cash flow	37%	\$1,610,495	\$4,424,030
Cash on cash	—	18.6%	51.0%
DSCR	—	1.30	2.71

LINE ITEM	% REV	STABILIZED	EXIT
Cap rate	—	6.50%	6.50%
Valuation	—	\$29,700,000	\$61,700,000

PROJECT LEVEL RETURNS		
METRIC	UNLEVERED	LEVERED
IRR	11.9%	15.8%
Equity multiple	4.8x	8.2x
Return on cost	8.7%	7.8%
Distributions	\$107,293,986	\$71,391,749
Equity required	\$22,250,336	\$8,677,460
Net profit	\$85,043,649	\$62,714,289

WATERFALL RETURNS			
METRIC	LB	ALBERTO	CALHOUN
IRR	16.7%	15.7%	15.7%
Equity multiple	10.1x	8.0x	8.0x
Distributions	\$11,062,178	\$10,170,772	\$50,158,800
Equity invested	\$1,100,000	\$1,277,460	\$6,300,000
Net profit	\$9,962,178	\$8,893,312	\$43,858,800
% of total	16%	14%	70%

UNIT MIX			
TYPE	UNITS	ADR	REVPAR
Type A	8	\$462	\$323
Type B	4	\$770	\$539
Type C	5	\$616	\$431
Total	17	\$580	\$406

PROFIT SUMMARY		
LINE ITEM	TOTAL	\$/UNIT
Net disposition value	\$59,208,330	\$3,480,000
Net operating profit	\$49,624,733	\$2,920,000
Asset management fee	(\$1,539,077)	(\$90,000)
Unlevered development costs	(\$22,250,336)	(\$1,310,000)
Unlevered profit	\$85,043,649	\$5,003,000
Acquisition financing	\$0	\$0
Construction financing	(\$2,547,123)	(\$150,000)
Permanent financing	(\$19,782,237)	(\$1,160,000)
Levered profit	\$62,714,289	\$3,690,000

VALUATION — STABILIZED / EXIT			
COMPONENT	BASIS	STABILIZED	EXIT
Building Type 1	1,679 SF · 4 units	\$13,860,000	\$31,800,000
Building Type 2	641 SF · 5 units	\$8,340,000	\$15,900,000
Restaurant	5.0x · 1 unit	\$7,500,000	\$14,000,000
PER UNIT / PSF			
Building Type 1 · per unit	—	\$3,465,000	\$7,950,000
Building Type 2 · per unit	—	\$1,668,000	\$3,180,000
Building Type 1 · PSF	—	\$2,063	\$4,734
Building Type 2 · PSF	—	\$2,601	\$4,958
Value per key (w/o rest.)	—	\$1,310,000	\$2,810,000

CASH FLOW SPLIT				
PERIOD	PROJECT CF	LB	ALBERT O	CALHOUN
Investment	(\$8,677,460)	\$1,100,000	\$1,277,460	\$6,300,000
Year 3	\$133,694	\$16,948	\$19,682	\$97,064
Year 4	\$3,425,607	\$434,248	\$504,304	\$2,487,056
Year 5	\$647,830	\$82,122	\$95,371	\$470,337
Year 6	\$818,169	\$103,715	\$120,447	\$594,006
Year 7	\$921,247	\$116,782	\$135,622	\$668,843
Year 8	\$952,134	\$120,698	\$140,169	\$691,268
Year 9	\$1,045,021	\$132,472	\$153,844	\$758,705
Year 10	\$1,141,490	\$144,701	\$168,045	\$828,743

PRO FORMA — RESTAURANT

Annual operating projection, first full year.

RESTAURANT — ANNUAL OPERATING PROJECTION SUMMARY					
LINE ITEM	MONTHLY AVG	%	ANNUAL		%
SALES					
Food	\$272,301	72.83%	\$3,267,607		72.83%
Beer	\$3,582	0.96%	\$42,986		0.96%
Wine	\$31,777	8.50%	\$381,324		8.50%
Liquor	\$55,903	14.95%	\$670,842		14.95%
N/A beverage	\$10,307	2.76%	\$123,689		2.76%
Merchandise	\$0	0.00%	\$0		0.00%
Total sales	\$373,871	100.00%	\$4,486,448		100.00%
COST OF SALES					
Total food	\$87,136	32.00%	\$1,045,634		32.00%
Total beverage cost	\$21,420	23.47%	\$257,038		23.47%
Total cost of sales	\$108,556	29.04%	\$1,302,673		29.04%
Total gross margin	\$265,315	70.96%	\$3,183,775		70.96%
Total employee expense	\$158,380	42.36%	\$1,900,562		42.36%
Prime cost	\$266,936	71.40%	\$3,203,234		71.40%
OPERATING EXPENSES					
Comps expense	\$11,216	3.00%	\$134,593		3.00%

LINE ITEM	MONTHLY AVG	%	ANNUAL	%
Administrative expense	\$8,973	2.40%	\$107,675	2.40%
Facilities expenses	\$12,338	3.30%	\$148,053	3.30%
Utilities	\$7,851	2.10%	\$94,215	2.10%
Marketing expense	\$6,917	1.85%	\$82,999	1.85%
Total operating expense	\$314,231	84.05%	\$3,770,770	84.05%
FIXED EXPENSES				
Rent expense	\$0	0.00%	\$0	0.00%
Corporate expenses	\$27,250	7.29%	\$327,004	7.29%
Total fixed expense	\$27,250	7.29%	\$327,004	7.29%
EBITDA	\$32,389	8.66%	\$388,674	8.66%
CA income tax — corp	\$200	0.05%	\$2,400	0.05%
Depreciation	\$14,047	3.76%	\$168,569	3.76%
Interest expense	\$0	0.00%	\$0	0.00%
Interest income	\$0	0.00%	\$0	0.00%
Net profit / (loss)	\$18,142	4.85%	\$217,705	4.85%

Hotels present attractive investment opportunities in 2026.

Based on a CBRE Capital Markets report, fundamentals are improving as new supply diminishes and RevPAR improves. Recovery in fundamentals will be uneven and more focused around high-end demand. High-end and lifestyle assets — the segment La Costa Hotel would land — are positioned relatively well: a differentiated asset versus the large luxury resort, which is not a direct competitive risk. Operational prowess will be especially important in a business where controlling costs is complex and total returns are more dependent on income. Investors and lenders view operational expertise as a key underwriting criterion: deals backed by experienced operators or vertically integrated sponsors are attracting better terms.

WHY LA COSTA HOTEL WINS

Entering a proven luxury hospitality corridor with strong and improving fundamentals.

66.1%

2026 YTD OCCUPANCY,
NORTH COUNTY COMP
SET — UP FROM 61.3%
IN 2025

\$555

2026 YTD COMP-SET
ADR, DRIVING REVPAR
TO \$367

\$707 / \$323

LA COSTA STABILIZED
ADR / REVPAR
ASSUMPTIONS —
PREMIUM POSITIONING,

~\$1,273

TOTAL GUEST SPEND
PER OCCUPIED ROOM,
COMP SET, 2026

The curated luxury benchmark reflects even stronger fundamentals, with 66.6% occupancy, \$620 ADR, and \$413 RevPAR, reinforcing sustained pricing power and resilient demand in the upper-upscale and luxury segment. La Costa's underwriting creates a balanced path to stabilization without reliance on outsized penetration.

Beyond room revenue, the project benefits from diversified income streams including food & beverage, social and corporate events, memberships, and ancillary services. The Restaurant's F&B concept further supports this strategy with projected annual sales of approximately \$4.5M and positive EBITDA contribution.

“With strong market fundamentals, multiple revenue channels, and meaningful operational upside, La Costa Hotel represents a compelling hospitality investment opportunity positioned to generate durable cash flow and support long-term debt performance in one of Southern California’s most established luxury resort markets.”

Interested in La Costa Hotel?

🌿 La Costa Hotel

A boutique hospitality development by The Brown Studio — a hotel, a restaurant, and a neighborhood of homes on the Leucadia coast.

PROPERTY

About La Costa
Site Plan & Unit Types
Restaurant

MARKET

Market Context
STR Reports
Positioning

PROJECT

Sales & Marketing
The Experience
Pro Forma

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